ONPOINT SOLUTIONS LLC

EVIDENCE REVIEW

Nonprofit Board Effectiveness: What the Research Shows

A review of published research on how nonprofit boards work and what makes them effective

This brief summarizes published studies on how nonprofit boards work, what goes wrong, and what the evidence supports.

Prepared by OnPoint Solutions LLC
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RESEARCH BRIEF

Nonprofit Board Effectiveness: What the Research Shows

Summary of Findings

Across the studies reviewed here, spanning three decades, the research finds that board effectiveness and organizational effectiveness move together, but it does not support a universal checklist of "best practices." Functional boards are distinguished mainly by how they behave: clear roles, cohesive teamwork, engaged chair leadership, active strategic work and regular self-assessment.

The link shows up in several ways. Board members' scores on six board competencies correlated with organizational financial performance (Jackson & Holland, 1998). Boards' governance self-ratings correlated with outside observers' ratings of organizational effectiveness (Gill et al., 2005). Especially effective organizations had more effective boards, and those boards used more recommended practices (Herman & Renz, 2000).

Dysfunction is more often a failure to act than overreach. The most common documented problems are inactive boards, role ambiguity, weak member engagement, insular composition, poor chair leadership and boardroom conflict.

Most findings rest on self-reported perceptions and correlations. **A longitudinal test of "correct" practices found that adopting them did not by itself improve later board effectiveness** (Herman & Renz, panel study). The study measured the same 44 organizations twice. At the second measurement, how many recommended practices a board used was not related to how effective the board was judged to be.

What makes boards work

Six factors appear in more than one of the studies reviewed.

1. **Role clarity.** Understanding of roles and responsibilities was one of two characteristics most strongly tied to perceived board impact (In Trust summary). Role understanding had the strongest effect on external board performance, including fundraising and community outreach (Bernstein, Buse & Slatten, 2015). Boards with better role understanding spend more time on strategic, future-focused work (LWI 2023 survey, as summarized by Nonprofit Law Blog).
2. **Working as a team.** In the same BoardSource 2017 data, the other characteristic most strongly tied to perceived impact was the board's ability to work collaboratively toward shared goals. Chair leadership, meeting practices and group dynamics are positively associated with perceived effectiveness (Van Puyvelde, Brown, Walker & Tenuta, 2018). Boards with less negative conflict were more active in governance, and active governance was associated with higher student math and reading proficiency (UW–Milwaukee, 2018).
3. **Strategic engagement and a shared vision.** The strongest predictors of organizational performance were board involvement in strategic planning, a CEO-led common vision, good meeting management, a pro-change core group and low internal conflict (Bradshaw, Murray &

Wolpin, 1992, as reviewed in Gill et al., 2005). Cornforth found a similar pattern in England and Wales: shared vision with management and periodic joint review (Cornforth, 2001).

4. **The right people with the time to serve.** Members having the time, skills and experience to do the job was important in explaining board effectiveness. Stanford's authors recommend composing boards for skills, resources, diversity and dedication (Stanford GSB, 2015). Board composition also affects board performance, and board chairs bridge board and organizational outcomes (Sessler Bernstein & Fredette, 2023).
5. **Regular self-assessment.** Boards that assess themselves regularly receive higher grades across all areas of performance (LWI 2017, In Trust summary). CEOs whose boards completed a formal evaluation in the past three years reported higher-performing, more engaged boards (BoardSource 2015 release).
6. **Sustained board development.** A demonstration study found significant improvement in boards that undertook substantial development activities, compared with boards that did not. The authors concluded gains last only when the work becomes a regular part of board activity (Holland & Jackson, 1998, as reviewed in Gill et al., 2005).

Two factors that are often assumed to matter showed **no measurable effect** in the Gill study: **the governance model a board uses (traditional, Policy Governance, or results-based), and the size of the board, budget or staff**.

What makes boards not work

A recurring finding is under-engagement rather than interference. Governance problems are also common: 69% of 924 nonprofit directors surveyed said their organization had faced a serious governance-related problem in the past 10 years, and most boards lacked formal governance structure and process (Stanford GSB, 2015).

Nine patterns of dysfunction are documented in the studies reviewed.

1. **Inactive board.** In 9 of 11 responsibility areas, most boards were inactive or only somewhat active (Ostrower overview). Among midsize nonprofits, only 1 in 5 boards was actively engaged in fundraising (midsize study).
2. **Role ambiguity and low peer confidence.** Most members receive neither training nor feedback, and the resulting confusion about their role lowers commitment (Wright & Millesen, 2008). A majority of directors do not believe fellow members are very experienced or engaged (Stanford, 2015).
3. **Weak grasp of mission and strategy.** Over a quarter of directors lack deep understanding of mission and strategy, and nearly a third are dissatisfied with the board's ability to evaluate performance (Stanford, 2015).
4. **Neglected board development, turnover and recruitment strain.** Recruitment, orientation, team building and self-assessment was the lowest-rated of 12 governance areas (Gill et al., 2005). Annual board turnover was negatively correlated with governance scores (Gill et al., 2005). 58% of CEOs found board recruitment difficult, up from 44% in 2012, and meeting attendance was declining (BoardSource 2015 release).
5. **Weak planning, monitoring, risk and executive oversight.** Members rated these four areas lower than other governance areas and identified them as needing improvement (Gill et al., 2005).
6. **Internal conflict.** On Minnesota charter school boards, boards with more negative conflict were less active in key governance areas, and less active governance was associated with lower student

math and reading proficiency (UW–Milwaukee, 2018). Conversely, low internal conflict was among the strongest predictors of organizational performance in a survey of about 400 Canadian nonprofits (Bradshaw, Murray & Wolpin, 1992, reviewed in Gill et al.).

7. **Fundraising crowding out strategy.** Boards that put fundraising above all else do so at the cost of strategy, relevance and impact (LWI 2021, as summarized by Nonprofit Law Blog). There is some evidence that executive directors push boards toward fundraising instead of monitoring (O'Regan & Oster, 2005).
8. **Insider deals.** Almost half of large nonprofits had insider deals with board members, and one-third occurred without prior board approval (Ostrower, 2007, via ACTA).
9. **Disconnection from community.** Boards are disconnected from the people they serve, and recruitment practices do not match diversity goals (LWI 2021, as summarized by Nonprofit Law Blog).

Governance structure

How a board is set up matters less than how it works. No single governance model has been shown to produce better results, but a few structural choices recur in the research as helping or hurting.

The typical board has 15 members (median 13), 72% of boards limit consecutive terms, boards average 4.5 standing committees, and 94% have a written conflict-of-interest policy. Executives say 38% of meeting time goes to routine reports (Leading with Intent 2017).

1. **Governance model.** No model wins. Gill and colleagues found no relationship between the model a board uses and board or organizational effectiveness, and most boards use hybrids (Gill et al., 2005). Nobbie and Brudney found no evidence that Policy Governance produces better outcomes than other approaches (Renz, Nonprofit Quarterly), although among boards already using it, fuller implementation was linked to better goal achievement and CEO job satisfaction (Nobbie, dissertation). In case studies of 20 Canadian nonprofits, boards that fully implemented Carver's model reported distance from the organization, board alienation and backlash, while hybrids "seem to work well enough, certainly better than trying to follow any one prescriptive model" (Gill, 2002).
2. **Board size.** Not a driver of effectiveness. Board size did not detract from engagement, and where it had an effect it was positive for fundraising, public education and advocacy (Ostrower, 2007, via Newswise). Size was not correlated with board or organizational effectiveness (Gill et al., 2005). One study suggests a trade-off: larger boards bring more fundraising capacity but weaker incentives for managers (Aggarwal, Evans & Nanda, 2006).
3. **Chief executive as a voting board member.** Consistently negative. It was negatively associated with having an outside audit and conflict-of-interest, whistleblower and document-retention policies (Ostrower, 2007, via Newswise). Boards with the chief executive as a voting member generally performed less well on financial oversight, and "no board activities are positively associated with having the chief executive as a board member" (Renz). The two summaries report different shares of boards with this arrangement (21% and 33%); the original report was not available to confirm which is correct.
4. **Committees and term limits.** Widely used but untested. The most common committees are **executive (76%), finance or finance/audit (76%) and governance or nominating (70%),** and only 47% of boards document committee roles in a charter (Leading with Intent 2017). No studies reviewed show that committee structure or term limits, on their own, improve performance.

5. **Recruitment and compensation.** Recruiting mainly through friendship with current members was negatively associated with board activity in every role except fundraising (Ostrower, 2007, via Newswise). The 2% of nonprofits that paid board members were no more likely to engage in financial oversight, policy-setting, planning, program monitoring or CEO evaluation (Nonprofit Law Blog).
6. **Conflict-of-interest and accountability policies.** Often missing. 21% of nonprofits bought or rented goods, services or property from a board member or affiliated company, yet only half had a written conflict-of-interest policy (Ostrower, 2007, via Nonprofit Law Blog). BoardSource reports 94%, but its survey drew on a different sample, so the two figures are not directly comparable.
7. **Orientation and the chair.** Both matter. Board orientation was directly linked to overall board performance (Brown, 2007, summarized by Renz). The board chair role significantly affects board performance, and trustworthiness, intelligence and good listening skills were the highest-rated chair qualities (Harrison & Murray, 2007, via Foraker; Harrison, Murray & Cornforth, 2012).
8. **Fit to context.** Board roles shift with organization size and environment. Boards of very large organizations tend to be less involved in external roles, and boards with paid CEOs focus more on financial and CEO-performance monitoring (Ostrower & Stone, 2010; Renz). In the Canadian case studies, hands-on involvement became harmful when board members took over program management in a larger organization, leading to repeated executive turnover (Gill, 2002).

What board governance needs to provide

The following is a synthesis of the findings above.

- A clear, written division between the board's role and management's role, revisited as the organization grows.
- Independent oversight: the chief executive is not a voting member, a conflict-of-interest policy with annual disclosure and recusal, an outside audit, and board review of the Form 990.
- A structure chosen to fit the organization, rather than a branded model adopted wholesale.
- Recruitment for skills and reach rather than friendships, followed by a real orientation.
- A deliberately chosen chair, with a job description and a succession plan.
- Meeting time spent on decisions and strategy rather than routine reports.
- Regular self-assessment that the board acts on.

What has changed since 2015

Most of the outcome research in this brief is more than ten years old, and no newer study re-tests it. Newer evidence comes mainly from descriptive surveys. They show shifts in how boards are set up, but no measurable improvement in overall board performance.

What has changed

- **Board diversity is rising slowly.** People of color were 16% of board members in BoardSource's 2017 data and 22% in the 2019 survey published in 2021 (Nonprofit Law Blog). In 2023, board chairs were 77% White and chief executives 84% White (Leading with Intent 2023).
- **Leaner, more formal structure.** Standing committees fell from an average of 6.6 in 1994 to 4.5 in 2017, boards without term limits fell from 37% to 28%, and average board size declined (Leading with Intent 2017). These trends began before 2015.

- **Conflict-of-interest policies are nearly universal.** 94% of boards had one in 2017 and 96% in 2021, and 90% had an annual disclosure process in 2021 (Leading with Intent 2021).
- **More advocacy and wider recruitment.** BoardSource's 2021 report describes boards as more engaged in advocacy and more open to non-traditional recruitment than in earlier studies, without giving figures (Leading with Intent 2021).
- **More attention to purpose.** BoardSource's takeaways from its 2023 survey say boards now rank strategy, not fundraising, as their highest governance priority, and that **purpose-driven governance is replacing compliance-driven governance** (as summarized by Nonprofit Law Blog).
- **Self-assessment is becoming standard among foundations.** In a 2025–26 survey of 63 foundations, 92% assess overall board effectiveness and 63% assess board culture (NonProfit PRO). The sample is small and limited to foundations.

What has not changed

- **Overall performance.** BoardSource found no significant difference in board performance ratings in 2021 compared with previous studies (Leading with Intent 2021).
- **Fundraising.** It remains the lowest-rated board responsibility, as in every BoardSource study (same source).
- **CEO evaluation.** This may have slipped. In 2017, 60% of chief executives had been evaluated within the past year and 15% had never been evaluated (Leading with Intent 2017). In 2021, the figures were 53% and 21% (Leading with Intent 2021).
- **Community connection.** In 2021, 49% of chief executives said their board lacks the right members to build trust with the community (same source).

Caveats: BoardSource's 2021 report is based on data collected in 2019, before the pandemic, so the newest full dataset is now seven years old. The 2023 results are available only as briefs and dashboards, and results from the 2026 survey have not yet been published.

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